Contact:
Lynda Kuhn
Senior Vice President, Communications and Consumer Affairs
416-926-2026
www.canadabread.ca

CANADA BREAD REPORTS THIRD QUARTER RESULTS

Earnings Strengthen as Commodity Markets Decline Late in Quarter

Toronto, Ontario – October 29th, 2008 – Canada Bread Company, Limited (TSX: CBY) today announced its financial results for the third quarter ended September 30, 2008.

- Adjusted Operating Earnings declined 6% compared to the prior year period
- Adjusted Earnings per Share increased to $0.93, including insurance proceeds related to a fire in the Rotherham, U.K. bagel facility

Note: All earnings measures are defined as earnings before restructuring and other related costs. All earnings per share measures are defined as earnings per share before restructuring and other related costs.

"Earnings strengthened as commodity markets began to decline late in the quarter and we benefited from significant capital investments that have lowered our operating costs," said Richard Lan, President and CEO. "While wheat prices are declining, labour, packaging and other input costs have increased. We expect previously implemented price increases, to continue to improve margins through the end of the year. We are continuing to grow and diversify our product mix through some exciting new products that were launched in the quarter. These expand our leadership in the premium nutrition and specialty bakery categories under the banner of our strong brands."

Financial Overview

Sales for the third quarter increased 14.8% to $443.1 million compared to the same period last year due to higher selling prices and contributions from acquisitions. Excluding acquisitions, sales increased by 9.7% compared to last year. Year-to-date sales increased by 12.8% to $1,263.4 million.

Earnings from operations before restructuring and other related costs and other income ("Adjusted Operating Earnings") declined 6.6% to $31.9 million compared to $34.1 million last year. Net earnings before restructuring and other related costs for the quarter increased 12.6% to $23.7 million ($0.93 per share), compared to $21.1 million ($0.83 per share) last year. Year-to-date earnings per share, on a comparable basis, were $1.75 compared to $2.43

last year.

Following is a summary of net earnings and earnings per share ("EPS") before restructuring and other related costs ("Adjusted EPS"):

($ millions)	Third Quarter			Year-to-Date		
	2008	2007	Change	**2008**	2007	Change
Net Earnings	**$ 19.7**	$ 21.1	(6.4%)	**$ 38.5**	$ 60.2	(36.1%)
Restructuring and other related costs, net of tax	**4.0**	0.0	N/A	**5.9**	1.5	294.5%
Net earnings before restructuring and other related costs (i)	**$ 23.7**	$ 21.1	12.6%	**$ 44.4**	$ 61.7	(28.0%)
Adjusted EPS (i)	**$ 0.93**	$ 0.83	12.6%	**$ 1.75**	$ 2.43	(28.0%)

(i) These are not recognized measures under Canadian GAAP. Management believes that this is the most appropriate basis on which to evaluate results, as restructuring and other related costs are not representative of continuing operations.

Business Segment Review

The following table summarizes Adjusted Operating Earnings by business segment:

($ millions)	Third Quarter			Year-to-Date		
	2008	2007	Change	**2008**	2007	Change
Fresh Bakery	**26.0**	24.9	4.1%	**51.1**	72.7	(29.7%)
Frozen Bakery	**5.9**	9.2	(35.9%)	**12.7**	25.4	(50.0%)
	31.9	34.1	(6.6%)	**63.8**	98.1	(34.9%)

Fresh Bakery *(Fresh bakery products, specialty baked goods and hand-held snacks, and fresh pasta and sauces)*

Fresh Bakery sales for the third quarter increased 19.2% to $290.2 million compared to $243.5 million last year, largely due to price increases and contributions from acquisitions. Excluding acquisitions, sales increased by 13.8% compared to last year.

Adjusted Operating Earnings for the quarter were $26.0 million compared to $24.9 million last year. Earnings were significantly impacted in the first half of 2008 by an unprecedented rise in commodity prices. Price increases implemented late in 2007 and early 2008 contributed to results in the third quarter, but have not offset prior losses. In the early part of the quarter, earnings across the business were affected by high wheat and oil prices, which began to decline towards the end of the quarter. Management anticipates that the combination of the price increases implemented earlier in the year and lower commodity prices will continue to improve margins through the end of the year. During the quarter the Company increased its investment in innovation and marketing and promotional activities. Supporting sales growth and product diversification in the Fresh Bakery business, new product launches included Dempster's Naan bread, diversifying into this high growth specialty category and Dempster's BodyWise diet breads. The Company also launched Nature's Path, a national line of branded organic breads.

Frozen Bakery *(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)*

Frozen Bakery sales increased by 7.4% to $152.9 million from $142.3 million last year. This was a result of increased prices and contributions from acquisitions. Excluding acquisitions, sales increased by 2.7% compared to last year.

Adjusted Operating Earnings for the quarter declined to $5.9 million from $9.2 million last year. The Company's U.K. bakery business experienced lower bagel sales growth as result of a fire at the principal bagel line at the Rotherham plant, which impacted sales and earnings and increased manufacturing costs as the new oven was commissioned. These costs and business disruption are covered by insurance and proceeds of $4.8 million received in the third quarter are included in Other Income. The Company has received $6.5 million year-to-date and expects to receive further insurance reimbursements in the fourth quarter of 2008 and in the first quarter of 2009.

As part of its acquisition integration activities, the U.K. bakery business is taking steps to further reduce costs and improve operating efficiencies. This includes the closure of two small bakery operations announced in the quarter, with production from these facilities, primarily croissants and bagels, being transferred to the Company's larger bakeries in Maidstone and Rotherham.

In continuation of its initiatives to increase the profitability of its North American frozen bakery business, the Company closed a bagel plant in Toronto and shifted production to other regional facilities. A bagel line is also being commissioned at its bakery in Roanoke, Virginia, which will move production closer to customers and reduce transportation costs.

Other Matters

On October 22, 2008, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on January 2, 2009 to shareholders of record on December 8, 2008. Unless indicated otherwise, by the corporation, in writing at or before the time the dividend is paid, each dividend paid by the corporation in 2008 or a subsequent year is an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to our objectives and goals, as well as statements with respect to our beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate", and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. In particular, these forward-looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and United States economies; the magnitude of the rate of change of the Canadian dollar versus the U.S. dollar; the availability and prices of raw materials, energy and supplies; product pricing; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; adverse results from ongoing litigation; no expected actions of domestic and foreign governments and the general assumption that none of the risks identified under "Risk Factors" in the Company's 2007 Annual Information Form will materialize. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements. Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking statements are discussed more fully in the Company's Management's Discussion and Analysis for the year ended December 31, 2007, which is available on SEDAR at www.sedar.com. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Canada Bread Company Limited, which is 89.8% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2007 sales of $1.5 billion and employs approximately 8,800 people at its operations across North America and in the United Kingdom.

Consolidated Financial Statements
(Expressed in Canadian dollars)

CANADA BREAD COMPANY, LIMITED

Three and nine months ended September 30, 2008 and 2007

CANADA BREAD COMPANY, LIMITED

Consolidated Balance Sheets
(In thousands of Canadian dollars)

	As at September 30, 2008	As at September 30, 2007	As at December 31, 2007
	(Unaudited)	*(Unaudited)*	
ASSETS			
Current assets			
Cash and cash equivalents	**$ 20,328**	$ 12,439	$ 2,847
Accounts receivable	**76,108**	72,712	68,464
Inventories	**58,451**	49,086	47,036
Future tax asset – current	**18,719**	4,607	5,937
Prepaid expenses and other receivables	**13,039**	7,431	4,798
Other current assets	**-**	82,146	80,586
	$ 186,645	$ 228,421	$ 209,668
Property and equipment	**408,160**	393,825	396,623
Goodwill	**395,181**	387,465	371,066
Other intangibles	**18,331**	4,596	12,870
Future tax asset – non-current	**-**	360	-
Other long-term assets	**9,815**	1,779	7,955
	$ 1,018,132	$ 1,016,446	$ 998,182
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ 9,521**	$ 10,157	$ 9,845
Accounts payable and accrued charges	**185,670**	181,911	177,695
Due to Maple Leaf Foods Inc.	**3,960**	7,757	5,408
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**18,560**	21,131	15,078
Current portion of long-term debt	**50**	10,352	107,644
	$ 219,286	$ 232,833	$ 317,195
Long-term debt	**78,453**	116,700	5
Future tax liability – non-current	**35,867**	29,382	33,522
Other long-term liabilities	**13,918**	12,157	12,417
Shareholders' equity	**670,608**	625,374	635,043
	$ 1,018,132	$ 1,016,446	$ 998,182

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Earnings
(In thousands of Canadian dollars, except share amounts)

(Unaudited)	Three months ended September 30, **2008**	2007	Nine months ended September 30, **2008**	2007
Sales	**$ 443,086**	$ 385,849	**$ 1,263,373**	$ 1,119,909
Cost of goods sold	**363,501**	304,754	**1,054,553**	884,177
Gross margin	**$ 79,585**	$ 81,095	**$ 208,820**	$ 235,732
Selling, general and administrative expenses	**47,726**	46,979	**145,019**	137,660
Earnings from operations before the following:	**$ 31,859**	$ 34,116	**$ 63,801**	$ 98,072
Restructuring and other related costs	**(5,718)**	-	**(8,410)**	(2,192)
Other income	**4,797**	77	**6,372**	486
Earnings before interest and income taxes	**$ 30,938**	$ 34,193	**$ 61,763**	$ 96,366
Interest expense	**2,147**	1,446	**5,982**	4,076
Earnings before income taxes	**$ 28,791**	$ 32,747	**$ 55,781**	$ 92,290
Income taxes	**9,064**	11,660	**17,305**	32,068
Net earnings	**$ 19,727**	$ 21,087	**$ 38,476**	$ 60,222
Earnings per share - basic and diluted	**$ 0.77**	$ 0.83	**$ 1.51**	$ 2.37
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.4

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Comprehensive Income
(In thousands of Canadian dollars)

(Unaudited)	Three months ended September 30, **2008**	2007	Nine months ended September 30, **2008**	2007
Net earnings	**$ 19,727**	$ 21,087	**$ 38,476**	$ 60,222
Other comprehensive income (loss)				
Change in accumulated foreign currency translation adjustment	**(7,010)**	(8,689)	**3,299**	(18,730)
Change in unrealized derivative loss on cash flow hedges	**(561)**	(1,621)	**(1,635)**	232
	(7,571)	(10,310)	**1,664**	(18,498)
Comprehensive income	**$ 12,156**	$ 10,777	**$ 40,140**	$ 41,724

Consolidated Statements of Retained Earnings
(In thousands of Canadian dollars, except in share amounts)

(Unaudited)	Nine months ended September 30, **2008**	2007
Retained earnings, beginning of period	**$ 528,327**	$ 450,733
Net earnings	**38,476**	60,222
Inter-company acquisition	**-**	(57)
Dividends declared ($0.18 per share; 2007: $0.18 per share)	**(4,575)**	(4,575)
Retained earnings, end of period	**$ 562,228**	$ 506,323

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows
(In thousands of Canadian dollars)

(Unaudited)	Three months ended September 30, 2008	Three months ended September 30, 2007	Nine months ended September 30, 2008	Nine months ended September 30, 2007
CASH PROVIDED BY (USED IN)				
Operating activities				
Net earnings	**$ 19,727**	$ 21,087	**$ 38,476**	$ 60,222
Add (deduct) items not affecting cash:				
Depreciation and amortization	**14,012**	12,194	**41,014**	36,936
Future income taxes	**1,817**	1,057	**1,394**	988
Loss (gain) on sale of property and equipment	**(34)**	(62)	**139**	(447)
Changes in restructuring and other related costs	**4,987**	-	**6,904**	-
Other	**(218)**	(1,096)	**1,087**	(1,387)
Change in operating working capital	**1,154**	(2,280)	**(33,752)**	(8,262)
Cash provided by operating activities	**$ 41,445**	$ 30,900	**$ 55,262**	$ 88,050
Financing activities				
Dividends paid	**(1,525)**	(1,525)	**(4,575)**	(4,575)
Net increase (decrease) in long-term debt	**(11,768)**	35,146	**(29,145)**	41,172
Settlement of cross currency interest rate swap with Maple Leaf Foods Inc.	**-**	-	**80,586**	-
Cash provided by (used in) financing activities	**$ (13,293)**	$ 33,621	**$ 46,866**	$ 36,597
Investing activities				
Additions to property and equipment	**(14,155)**	(22,058)	**(40,025)**	(64,583)
Proceeds from sale of property and equipment	**86**	62	**618**	788
Acquisition of business, - net of cash acquired	**(1,275)**	(40,235)	**(44,819)**	(48,469)
Change in intangible assets	**(58)**	245	**(97)**	159
Cash used in investing activities	**$ (15,402)**	$ (61,986)	**$ (84,323)**	$ (112,105)
Increase (decrease) in cash and cash equivalents	**12,750**	2,535	**17,805**	12,542
Net cash and cash equivalents, beginning of period	**(1,943)**	(253)	**(6,998)**	(10,260)
Net cash and cash equivalents, end of period	**$ 10,807**	$ 2,282	**$ 10,807**	$ 2,282

CANADA BREAD COMPANY, LIMITED

Segmented Financial Information
(In thousands of Canadian dollars)

(Unaudited)	Three months ended September 30, **2008**	2007	Nine months ended September 30, **2008**	2007
Sales				
Fresh Bakery	**$ 290,196**	$ 243,509	**$ 815,058**	$ 706,850
Frozen Bakery	**152,890**	142,340	**448,315**	413,059
	$ 443,086	$ 385,849	**$ 1,263,373**	$ 1,119,909
Earnings from operations before restructuring and other related costs and other income				
Fresh Bakery	**$ 25,985**	$ 24,955	**$ 51,131**	$ 72,725
Frozen Bakery	**5,874**	9,161	**12,670**	25,347
	$ 31,859	$ 34,116	**$ 63,801**	$ 98,072
Additions to property and equipment				
Fresh Bakery	**$ 5,912**	$ 5,392	**$ 17,085**	$ 30,968
Frozen Bakery	**8,243**	16,666	**22,940**	33,615
	$ 14,155	$ 22,058	**$ 40,025**	$ 64,583
Depreciation and amortization				
Fresh Bakery	**$ 7,122**	$ 6,470	**$ 20,975**	$ 19,176
Frozen Bakery	**6,890**	5,724	**20,039**	17,760
	$ 14,012	$ 12,194	**$ 41,014**	$ 36,936

	As at September 30, 2008	As at September 30, 2007	As at December 31, 2007
	(Unaudited)	(Unaudited)	
Total assets			
Fresh Bakery	**$ 459,396**	$ 399,304	$ 400,518
Frozen Bakery	**507,191**	515,709	573,772
Non-allocated assets	**51,545**	101,433	23,892
	$ 1,018,132	$ 1,016,446	$ 998,182
Goodwill			
Fresh Bakery	**$ 156,691**	$ 131,255	$ 131,256
Frozen Bakery	**238,490**	256,210	239,810
	$ 395,181	$ 387,465	$ 371,066